

You are a financial analyst evaluating 2 different companies X and Y.

Balance Sheet of company A and B

<u>Assets</u>	<u>Company X</u>	<u>Company Y</u>
Current Assets		
Cash	\$50,000	\$80,000
Inventory	\$40,000	\$70,000
Accounts Receivable	\$100,000	\$250,000
Fixed Assets		
Property	\$400,000	\$450,000
Others	\$60,000	\$50,000
Total	\$650,000	\$900,000

Liabilities		
Current Liabilities		
Accounts Payable	\$100,000	\$150,000
Short Term Loans	\$80,000	\$70,000
Long Term Liabilities	\$300,000	\$500,000
Capital	\$170,000	\$180,000
Total	\$650,000	\$900,000

Income Statement of company A and B

<u>Item</u>	<u>Company A</u>	<u>Company B</u>
Sales	\$300,000	\$500,000
Cost of Goods Sold	\$140,000	\$200,000
Gross Profit	\$160,000	\$300,000
Selling and Distribution Expenses	\$50,000	\$60,000
Earning Before Interest and Tax (EBITDA)	\$110,000	\$240,000
Depreciation	\$10,000	\$12,000
Earning Before Interest and Tax (EBIT)	\$100,000	\$228,000
Interest	\$10,000	\$18,000
Earning Before Tax	\$90,000	\$210,000
Taxes	\$18,000	\$42,000
Net Income	\$72,000	\$168,000

Ratios to compare risk

Debt to Equity Ratio = Total Long Term Debt / Total Equity

Item	<u>Company A</u>	<u>Company B</u>
Long Term Debt	\$300,000	\$500,000
Equity	\$170,000	\$180,000
Debt to Equity Ratio	1.76	2.78

Financial Leverage = Total Assets / Total Equity

Item	<u>Company A</u>	<u>Company B</u>
Total Assets	\$650,000	\$900,000
Equity	\$170,000	\$180,000
Assets to Equity Ratio	3.82	5.00

Interest Coverage Ratio = EBIT / Interest Expense

Item	<u>Company A</u>	<u>Company B</u>
EBIT	\$100,000	\$228,000
Interest Expense	\$10,000	\$18,000
Assets to Equity Ratio	10	12.66